



HOUSE OF REPRESENTATIVES

House Bill No. 3921

Introduced by Representative **FRANZ FERNANDEZ LEGAZPI**

EXPLANATORY NOTE

Article XIII, Section 3 of the 1987 Constitution directs the State to afford full protection to labor, local and overseas, organized and unorganized, and to guarantee the rights of all workers to security of tenure. In line with this Constitutional mandate, Presidential Decree No. 442, or the Labor Code of the Philippines, as amended was enacted as the principal law governing employment practices and labor relations in the country. The Labor Code aims to balance the interest of both labor and capital, ensuring the protection of workers’ rights while recognizing the role of employers and enterprises as vehicles of economic growth.

Artificial Intelligence (AI) systems, including generative AI, machine learning, and automated decision-making tools, are increasingly being utilized by enterprises to optimize operations, resulting in reduced demand for certain types of human labor. It is estimated that the adoption of AI systems will heavily disrupt the Philippine labor market, projected to lose over 300,000 jobs in the business process outsourcing (BPO) industry in the next five years alone.¹

Article 298 (formerly Article 283) of the Labor Code provides that the employer may terminate the employment of any employee due to the installation of labor-saving devices, redundancy, or retrenchment to prevent losses, closing or cessation of operation of the establishment. However, it is not clear whether AI systems are considered as “labor-saving devices” and may prove to be a novel legal issue which will clearly affect the status of workers in industries affected by the adoption of AI systems.

This bill seeks to include AI within the scope of a “labor-saving device” as provided in the Labor Code to ensure the protection of employee rights and their entitlement to appropriate separation benefits upon termination due to the introduction of AI systems in their workplace.

We believe on the paramount principle of protecting Filipino workers against unjust and unfair labor practices derived from arbitrary interpretations of the law. Thus, we must therefore ensure the maintenance of industrial peace and that social justice among our workers are always met in light and anticipation of the exponential evolution of technology affecting all aspects of life and society.

In view of the foregoing, the approval of this bill is earnestly sought.

FRANZ FERNANDEZ LEGAZPI
Representative, PINOY WORKERS PARTYLIST

¹<https://businessmirror.com.ph/2025/07/06/ai-disrupts-philippine-labor-market-as-experts-warn-of-existential-job-crisis/?utm>

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AN ACT
INCLUDING ARTIFICIAL INTELLIGENCE (AI) SYSTEMS AS “LABOR-
SAVING DEVICES” UNDER ARTICLE 298 OF THE LABOR CODE OF THE PHILIPPINES, AS
AMENDED

Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

SECTION 1. *AI as Labor-Saving Device.* - For purposes of Article 298 of the Labor Code of the Philippines, as amended, the term “installation of labor-saving devices” shall be interpreted to include the introduction, adoption, or deployment of Artificial Intelligence (AI) systems, including but not limited to automation technologies, machine learning applications, and generative AI tools, which directly result in redundancy, displacement, or termination of employees.

SEC. 2. *Good Faith and Fair Criteria.* - Employers are hereby mandated to observe good faith and implement fair criteria in undertaking termination measures due to the adoption of AI systems. The employer shall bear the burden of proof to show that:

- a. That the AI system was introduced for legitimate business reasons and efficiency gains;
- b. That such introduction has made the position redundant or unnecessary; and
- c. That fair and reasonable criteria were used in selecting employees for termination.

SEC. 3. *Entitlement to Separation Pay.* - Employees whose services are terminated due to the installation or adoption of AI systems, as defined herein, shall be entitled to separation pay equivalent to at least one (1) month pay or at least one-half (1/2) month pay for every year of service, whichever is higher, in accordance with Article 298 of the Labor Code and applicable Department of Labor and Employment (DOLE) regulations.

SEC. 4. *Implementing Rules and Regulations.* - The Department of Labor and Employment (DOLE) shall issue the necessary guidelines, circulars, or advisories within ninety (90) days from the effectivity of this Act to operationalize its implementation, including criteria to determine when AI adoption qualifies as a labor-saving device and safeguards to ensure good faith in the implementation of termination.

SEC. 5. *Separability Clause.* - If any part or section of this Act is declared unconstitutional, such declaration shall not affect in any manner other parts or sections hereof.

SEC. 6. *Effectivity.* - This Act shall take effect fifteen (15) days after its publication in the Official Gazette or in a newspaper of general circulation.

Approved,